

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee:	Long-term insurers		File:	10/11/2/6/2 & 10/17/1	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	2010/06/30	2010/07/01	146.A.i (LT)	Final	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	THE APPLICATION OF LINKED POLICIES AS DEFINED IN THE LONG-TERM INSURANCE ACT, ACT 52 OF 1998				

1. Purpose of this Directive

This Directive provides guidance on the interpretation and application of the term “linked policy” as defined in section 1 of the Long-term Insurance Act, Act 52 of 1998 (“the Act”).

The guidance reflects the manner in which the Registrar of Long-term Insurance will interpret and apply the term for regulatory purposes.

2. Background

It appears that the term “linked policy” might not be interpreted and applied consistently and uniformly in the long-term insurance industry.

This Directive serves to ensure that this term is interpreted and applied consistently and uniformly in accordance with its definition and the objects of the Act.

3. The definition of “linked policy”

“Linked policy” is defined as *“a long-term policy of which the amount of the policy benefits is not guaranteed by the long-term insurer and is to be determined solely by reference to the value of particular assets or categories of assets which are specified in the policy and are actually held by or on behalf of the insurer specifically for the purposes of the policy”*.

4. Interpretation and application of the definition

It is clear that a linked policy is a long-term policy that consists of all of the following elements:

- 4.1 the amount of the policy benefits is not guaranteed by the insurer;
- 4.2 the amount of the policy benefits is to be determined solely by reference to the value of particular assets or categories of assets (herein referred to as "the relevant assets"); and
- 4.3 the relevant assets must –
 - 4.3.1 be specified in the policy;
 - 4.3.2 actually be held by or on behalf of the insurer; and
 - 4.3.3 be held specifically for the purposes of the policy.

These elements are discussed in turn.

A. *The amount of the policy benefits is not guaranteed by the insurer*

This element does not require discussion as it is clear.

It should be noted that all risks, other than investment risk, associated with a linked policy must be borne by the insurer.

B. *The amount of the policy benefits is to be determined solely by reference to the value of the relevant assets*

- B.1 This means that the amount of the policy benefits before termination charges (where applicable) must at all times be equal to the investment value of the relevant assets.
- B.2 A linked policy may have a Rand (or non-unit) reserve, whether positive or negative. However, the insurer must at all times hold assets that will match the unit reserves and these assets must be specified in the policy.
- B.3 It should be noted that for statutory reporting purposes, the applicable non-admissible assets and valuation of group undertakings applies to linked policies.

C. *The relevant assets must be specified in the policy*

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- C.1 The assets chosen by the policyholder must be specified in the policy. Such assets may consist of –
- one or more specific individual assets, one or more categories of assets, or one or more portfolios of assets (i.e. investment portfolios); or
 - a policy issued by another long-term insurer, provided that the linked policy clearly specifies that policy as a relevant asset.
- C.2 Any change in the relevant assets specified in the policy must be agreed to in writing by the policyholder or, where relevant, be effected through an amendment to the policy.
- C.3 Where the relevant assets consist of one or more investment portfolios, features of each investment portfolio must be specified in the policy (e.g. the type of the investments in the portfolio like equities, bonds, derivatives, listed and unlisted investments). Active trading is permitted within the specified investment portfolios.
- D. *The relevant assets must actually be held by or on behalf of the insurer***
- D.1 The insurer must at all times own the relevant assets and hold the relevant assets directly or through an approved nominee company, which is not an insurer or reinsurer, in accordance with section 34(1)(b) of the Act.
- D.2 Where the relevant asset constitutes an investment in an institution, vehicle or arrangement that holds assets, which assets are not under the insurer's direct control, the insurer must disclose to the policyholder that the underlying investment of the policy is a claim against that institution, vehicle or arrangement.
- D.3 Securities lending transaction in respect of linked policies are permitted if:
- the securities lending transaction complies with all the requirements set out in the Directive dealing with guidance on securities lending transactions (Directive 154.A.i (LT&ST));
 - the credit risk associated with the securities lending transaction is borne by the insurer; and
 - the policy specifies –
 - that securities lending of the assets backing the policy is permissible;
 - the conditions on which such securities lending may occur; and

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- the basis on which the benefits arising from the securities lending will be shared between the insurer and the policyholder.

E. *The relevant assets must be held specifically for the purposes of the policy*

This element does not require discussion as it is clear.

5. Application of this Directive

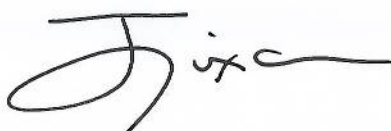
This Directive provides general guidance on the manner in which the Registrar of Long-term Insurance will interpret and apply the term “linked policy” for regulatory purposes. As the details of linked policies may differ, each policy must be considered in accordance with this Directive.

This Directive applies to all policies issued after the effective date of this Directive. Despite this, current securities lending transactions in respect of linked policies issued before the effective date of this Directive may not be renewed or extended if such transactions do not comply with paragraph D.3 above or the Directive dealing with guidance on securities lending transactions (Directive 154.A.i (LT&ST)).

An insurer that is in contravention of the Act due to the interpretation afforded to “linked policy” under this Directive, must, within 30 days of the issue date of this Directive, notify the Registrar accordingly in writing, giving full details of the contravention, including the steps to be taken to rectify the contravention.

6. Availability of this Directive

This Directive is available on the website of the Financial Services Board (www.fsb.co.za). Insurers must bring this Directive to the attention of their appointed auditors and statutory actuaries.



REGISTRAR OF LONG-TERM INSURANCE